

*A corporate liquidation typically connotes business failure; but ironically, it may correspond with investment success. The reason is that the liquidation or breakup of a company is a catalyst for the realization of the underlying business value. Since value investors attempt to buy securities trading at a considerable discount from the value of a business's underlying assets, a liquidation is one way for investors to realize profits.*

Is the source of the returns the catalyst, an event like a liquidation, merger, or some other cause? Seth Klarman advises that investors seek catalysts, both to generate return and to reduce risk:<sup>27</sup>

*Value investors are always on the lookout for catalysts. While buying assets at a discount from underlying value is the defining characteristic of value investing, the partial or total realization of underlying value through a catalyst is an important means of generating profits. Furthermore, the presence of a catalyst serves to reduce risk. If the gap between price and underlying value is likely to be closed quickly, the probability of losing money due to market fluctuations or adverse business developments is reduced. In the absence of a catalyst, however, underlying value could erode; conversely, the gap between price and value could widen with the vagaries of the market. Owning securities with catalysts for value realization is therefore an important way for investors to reduce the risk within their portfolios, augmenting the margin of safety achieved by investing at a discount from underlying value.*

Is it necessary, as Buffett suggests, to be a liquidator to make the strategy profitable? The theoretical basis for the strategy as described by Graham is the shareholder's ultimate right to wind up the company and retrieve his or her capital. Buying stocks for less than liquidation value may only make sense because a legal mechanism exists for recovering more cash than needs to be invested to set this process in motion. For most investors, however, their shareholding will be too small to trigger the legal mechanism, and so their rights are for all intents and purposes not enforceable. Can an investor who is not a liquidator, or unable to trigger the legal mechanism, still profit from a net-net strategy? In *Margin of Safety*, Klarman wrote that a "liquidation is, in a sense, one of the few interfaces where the essence of the stock market is revealed."<sup>28</sup>

*Are stocks pieces of paper to be endlessly traded back and forth, or are they proportional interests in underlying businesses? A liquidation settles this debate, distributing to owners of pieces of paper*